CFI 073/2024 LXT Real Estate Broker L.L.C v Sir Real Estate L.L.C

FEBRUARY 13, 2026 COURT OF FIRST INSTANCE - ORDERS

Claim No: CFI 073/2024

IN THE DUBAI INTERNATIONAL FINANCIAL CENTRE COURTS

IN THE COURT OF FIRST INSTANCE

BETWEEN

LXT REAL ESTATE BROKER L.L.C

Claimant/Respondent

and

SIR REAL ESTATE L.L.C

Defendant/Appellant

ORDER WITH REASONS OF H.E. JUSTICE ANDREW MORAN

UPON the Defendants' Application No. CFI-073-2024/2 dated 16 December 2024 seeking an order that the Claim be struck out pursuant to the Rule 4.16 of the Rules of the Dubai International Financial Centre Courts ("RDC") and/or immediate judgment be entered for the Defendant pursuant to RDC 24.1. (the "Strike Out and Immediate Judgment Application")

AND UPON the Claimant's Application No. CFI-073-2024/4 for amendment of its Claim Form and Particulars of Claim of 14 October 2024, dated 23 May 2025 (the "Amendment Application") (together the "Applications")

AND UPON the Order of H.E. Justice Andrew Moran of 9 January 2026 with Reasons given on 20 January 2026 determining the Applications

AND UPON paragraph 3 thereof providing for determination of the costs of the Applications failing their agreement, on the Parties' written submissions to be provided to the Court

AND UPON consideration of the Parties' written submissions dated 3 February 2026 together with supporting materials attached

IT IS HEREBY ORDERED THAT the Defendant shall pay to the Claimant, its costs of the Applications assessed in the amount of AED 803,187.03, within seven days of the date of this Order.

Issued by:

Delvin Sumo
Assistant Registrar
Date of Issue: 13 February 2026
At: 2pm

SCHEDULE OF REASONS

Introduction

1. The order above allocating liability for and summarily assessing the costs of the Applications is made for the following reasons. These reasons are rendered as briefly as possible for speed and efficiency, after consideration of all the submissions made by the Parties in their written submissions.

2. References will be to paragraphs of the Claimant's Cost Submissions thus [CCS/n] and to the Defendant's Costs Submissions thus [DCS/n] without quotation or summary of them.

Allocation of Liability for Costs

3. The applicable rules and principles in allocating liability for and assessing costs are so well known as to be trite and do not require citation in these reasons. They are correctly stated at [CCS/2-5].

4. In my judgment, the Claimant was almost entirely successful in the Applications. The extent to which it was unsuccessful was minimal for the reasons advanced at [CCS/6- 7]. The Defendant's limited success although not, as the Claimant submits, *"inconsequential"*, was not of such a magnitude or character (in terms of giving rise to discernible, avoidable or separable costs) as to justify or require an issued based costs order in this case; or any percentage reduction of costs payable.

5. This is highly complex litigation and failure on a single issue of so many, does not justify an issue-based costs order in my judgment, for the reasons given in the authorities relied on and advanced by the Claimant at [CCS/8-9], which I consider it appropriate to follow in this case. This is a case where the Court should properly and fairly decide that the Defendant came to the hearing, it fought, it lost (almost completely) and it should pay in full. I accordingly reject the Defendant's submissions at [DCS/2.1, and 7-10] including its convoluted argument that the strike out application based on construction (on which the court has made no finding) has forced the Claimant to plead a claim for rectification (which the Defendant objected to), and which is claimed to be a *"result substantially favourable to the defendant"*. It is no such thing on the facts of this case, where the Defendant has raised a plethora of grounds for striking out claims and failed on all but one of them. The authority relied on by the Defendant at [DCS/8-9] was plainly decided on its own facts which were markedly

different from what has occurred in this case. I am satisfied that the *"justice of the situation"* in this case, requires that the Defendant should pay in full for the almost completely failed application it has brought to Court and its attempt to prevent the amendment, it now ironically seeks to claim as a benefit it has achieved by its resistance. It could and should have obtained that benefit, if such it was, by consenting to it and thereby avoiding the costs it has caused the Claimant to incur.

6. As for the Amendment Application, whilst the Defendant had valid points to make about the deficiency of the draft pleading, which the Court accepted, it maintained an objection to the amendment which failed. The Reasons for allowing the amendment and dealing with the Defendant's complaints of deficiency, map out the remedies for those deficiencies that were (and still are) available to it; but instead of agreeing to the amendment, it failed in its objections to it, and costs should follow that event. I also accept that there can be no consequential costs of and incidental to the amendment that the Claimant should pay, where the Defendant has not pleaded in response to the original Particulars of Claim and will be pleading to an amended pleading for the first time when that occurs. I accordingly reject the Defendant's submissions at [DCS/2.2 and 12-13]. I find that if there is a normal rule, it should not apply in this case, where it has not been shown that the Defendant has incurred costs of and caused by the amendments. and where the three reasons it gives at [DCS/2.2] for why it claims to be entitled to its costs of the amendment application, do not in the circumstances of this case, displace or outweigh the principle that it was the loser and it should pay the costs of the Application. It was an application the Claimant was required to make and bring to a hearing; and it did so, before the Defendant incurred the costs of pleading out its defence or needed to amend one.

7. As for the Defendant's submissions that it should (in effect) be compensated in costs for the adjournment of the hearing, which (put shortly) it contends was the Claimant's fault, I am satisfied that the adjournment (and its length) was due to a combination of factors, including: the Court deciding that the Applications required in-depth reading and preparation time, which was not available to it in advance of the hearing; that the Applications had been made with insufficient hearing time sought by the Parties; and the delay in re-fixing the hearing was a not uncommon consequence of adjournments in heavy litigation, where the commitments of counsel and solicitors of the calibre representing these parties, are heavy, undertaken well in advance and inevitably give rise to delay in re-fixing hearings. The effective cause of the costs incurred and thrown away by the adjournment, remained the Defendant's failed Application and its failed resistance to the Claimant's Application. The delay in provision of the Claimant's skeleton argument was a contributory factor in what occurred, but I am satisfied that the costs of the adjournment are properly attributable to the exigencies of litigation, where, if the court had been asked to make an order at the time, it would have made an order that the costs be in the Applications. I accordingly reject the Defendant's submissions at [DCS/2.3 and 15-25].

8. I am satisfied for the reasons now given, that the Defendant should bear all of the Claimant's costs of these Applications in the amount assessed below.

9. With regard to the Claimants submissions at [CCS/15-19] concerning the Defendant's conduct in the proceedings, it is not necessary for me to make any judgments about those matters, in view of my allocation of liability for the costs of the Applications for the reasons stated.

The form of assessment and the plea to set-off costs payable against security for costs which may be payable:

10. The general rule and the increasingly clear practice of the Court is to make an immediate assessment of costs wherever possible and where it is fair just and appropriate to do so. This is such a case. There are large sums of costs being incurred on both sides and cash flow is matter of significant importance to Parties and, where they are involved, their funders. It is the lifeblood of litigation and without prompt recovery (on both sides) of costs to which a party becomes entitled, its pursuit of its case or defence may be financially hampered and the interests of justice may thereby be impaired. The Defendant's submissions that there should be no immediate assessment of costs but instead, a detailed assessment down the track, *"given the complexity of the various issues"*; and that only an order in principle should be made, based on RDC 38.30 (1) and the fact the hearing lasting two days, are all rejected. Neither the sub-rule relied on, nor the length of the hearing displace the general rule. There is no good reason not to follow it in this case. There is no complexity of various issues; and no substantial grounds for disputing the sum claimed (as the assessment which follows will demonstrate); and an immediate assessment can easily be dealt with on the material available at this time. It is absurd to suggest that *"it would be almost impossible to conduct [an immediate assessment] in any event given the various moving parts described above". There no "moving parts"* only the established considerations and factors the Court takes into account in allocating liability for costs and assessing them.

11. Costs which a party is entitled to be paid by the other, are entirely different to security for costs, which are funds that are not lost to a party until an adverse order for costs is made against it, which it fails pay. If the Defendant is entitled to additional security for costs (a significant amount remains in place, and it appears the Court will be asked to order more) the Claimant (or its funder) will be obliged to pay it to proceed with these claims. If any more security is ordered payable, it will be assessed by reference to the incurred and estimated costs of the proceedings the Defendant will incur that the Claimant may be ordered to pay. The Claimant will not be ordered to pay the costs of these Applications and is immediately entitled to its costs incurred in connection with them. In my judgment, that entitlement should not be delayed or mixed up with its potential liability to provide more security for costs. I accordingly consider it fair and appropriate to make an order for costs which is payable immediately – meaning, within a usual few days to make the payment. It follows that I reject all of the Defendant's submissions on this issue of set off at [DCS/26-32], which completely exaggerate the complexity of the tasks of allocation of liability for costs and their assessment; and, in recounting details of the Appeal, illustrate the dangers of mixing up the two different procedural activities in which the Court is engaged.

The Assessment of Costs

12. I have before me two “Schedules” of costs from the Claimant (one for each of the Applications) and the Defendant’ Statement of Costs dated 9 December 2025, which states its costs incurred on both Applications.

13. I accept the Claimant’s submissions at [CCS/22-24]. The Defendant has not contended that the costs incurred and claimed were not reasonably and proportionately incurred; nor that any of them are not reasonable or proportionate in amount.

14. That is entirely unsurprising when its own costs substantially exceed those incurred and claimed by the Claimant in dealing with the Applications. That fact is not however, determinative of the assessment, and I have carefully considered the rates charged by the lawyers of the seniority stated, for the hours of work spent on the Applications. I am satisfied upon that consideration, that the rates charged by the Claimant’s lawyers are not only commensurate with rates commonly charged by lawyers of similar seniority in this jurisdiction, but in certain cases less than I commonly encounter in the many assessments of costs I undertake. There appears to be a reasonable allocation of overall time spent on the case between the different grades of lawyers, with much of the time spent and work done, being done by the more junior lawyers.

15. Counsel’s fees claimed are in my judgment reasonable and proportionate and again commensurate with rates commonly charged and seen by me for Counsel of such seniority and competence. I am reinforced in that view upon a comparison of the amount charged by Counsel for the Defendant, with the much lower amount charged by Counsel for the Claimant. Again, that comparison is not determinative and having made a free- standing assessment, I repeat my finding that Counsel’s fees charged to and incurred by the Claimant, are reasonable and proportionate in amount.

16. It follows that I am satisfied the Claimant is entitled to and has therefore been awarded the costs it has claimed in full, in the order made above.